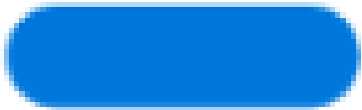


99acres.com®



Drive new initiatives to increase monetisation revenue

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Problem statement: Increase monetisation revenue on 99acres platform through new initiatives

Company's introduction:

- 99acres is an online forum where buyers, sellers and brokers/agents can exchange information about real estate properties quickly, effectively and inexpensively.
- At 99acres.com, you can advertise a property, search for a property, browse through properties, build your own property microsite, and keep yourself updated with the latest news and trends making headlines in the realty sector.
- The platform provides its **flagship offerings free of cost**, like posting, buying, selling, renting property. It also offers some **paid services focussed on owners, dealers and builders**, which gives them access to extra services and greater reach among buyers/tenants

Plan Benefits	SELF SERVICE PLANS			ASSISTED PLANS
	Free	Advanced	Advanced Plus RECOMMENDED	Assist
Be more visible to Buyers ⓘ	 Visible to 14% buyers ⓘ	 Visible to 59% buyers	 Visible to 73% buyers	 Visible to 85% buyers
Increase in Buyer Responses ⓘ	×	up to 5X	up to 8X	up to 6X
Relationship manager assistance in selling ⓘ	×	×	×	✓
Reach Buyers on Facebook and Google platforms ⓘ	×	×	×	×
Premium listing, standout with large Photos & Slideshow ⓘ	×	✓	✓	✓
Free Verification & Photoshoot of your property* ⓘ	×	✓	✓	✓
Plan duration ⓘ	2 Months	1 month	2 months	45 days
Plan Cost	Free	₹ 999 incl. GST	₹ 1598 incl. GST	₹ 6499 incl. GST
		Buy	Buy	Buy

Summary of offerings by 99 acres		
Offerings	Target group	Paid/Free
Self service and assisted plans	Buyers, dealers, owners	Paid
Rental agreement	Tenants, owners	Paid
Make rental payments	Tenants	Paid
Real estate articles and news	Everyone	Free
Home loans	Buyers	Free
Property verification	Buyers, dealers, owners	Free
Post properties	Buyers, dealers, owners	Free

Gap identified: No offerings for buyers/tenants during searching and finalization. The offerings present for post property finalization phase like drafting rental agreements and making payments do not have much traction with the target group (confirmed through primary research)

USERS

Following are the prominent user personas using real estate platforms

Rishabh, age 26, bachelor

- Lives in Noida, working as a software engineer
- Is living in a shared flat with 3 flatmates
- Shifted to Noida from hometown in a hurry after the Covid lockdown ended and his company started work from office
- Had to find a flat suited to his requirements in a limited time

Pain points:

Limited time, no expertise in real estate or property dealings, Aversion of flat owners to rent out to bachelors, furnishing the flat, maintaining the flat’s cleanliness and hygiene



Satish, age 48, owner of a flat in Lucknow

- Lives in Mumbai with his family
- Has rented out his property in Lucknow
- Wants that his property remains occupied with decent tenants who take care of the flat
- Has listed his property on multiple online portals and also has a broker who is his representative in Lucknow

Pain points:

Limited transparency with the broker but without broker it takes a much longer time to find tenant, Background verification of tenants is a challenge



Analysis of current offerings in market

Benchmarking against players in this industry (Magicbricks, Housing.com, Nobroker) revealed that:

- Most of the paid offerings are **aimed towards the property owners/sellers** and there are **minimal gaps to be filled in that domain.**
- Paid offerings for tenants and buyers which **directly involve searching for and finalising a property to buy/rent** are not very popular

Do not subscribe!!!!!!

★☆☆☆☆ 0 hrs 56 mins ago 25 Views (via Mobile)

Before subscription what info you get much more useful than subscribed info.... Absolute cheating... once you subscribe they will withhold info to make you buy a another package saying you get more benefits... only stealing money... I never got any owner's number... it always goes to the agent...and once you pay money apart from the place or society where you want a house every other place it'll show... whole city except the place where you want it.... Absolute waste...

Biggest fraudsters of the decade

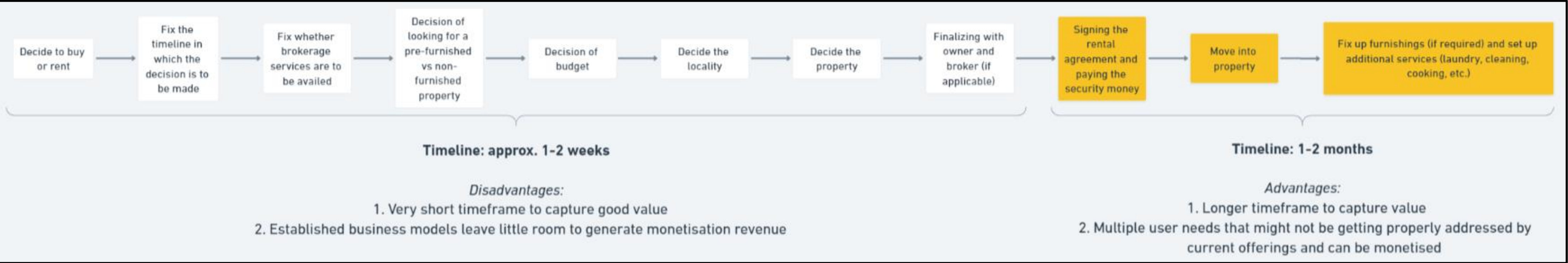
★☆☆☆☆ July 24th, 2022

Had a horrible experience!
They are big fraudsters scamming renters into buying plans that don't work as promised. They need to be brought to justice for engaging in such practices.
I purchased the Mb Pro plan, that's supposed to be valid for 90 days with a guarantee of reachability to 35 owners. Within a couple of days of purchase, the contact limit got exhausted automatically (I had barely contacted a handful of contacts). Furthermore, I can't even contact any agent on their platform nor can see their contact details. And to make things worse, they would keep sending stupid emails everyday with \$#!ty property matches generated by some crappy matching algorithm.

There could be opportunities in the post-property finalization part of the buyer cycle

I enrolled to their prime service paying 1100 rupees considering the brand and quality.. having taken the basic plan, out of 25 properties i tried contacting, not 1 correct number or response. Every single number is invalid. And so many properties which are sold out still lying in the pool! I want my refund. magic bricks should stop their service.

User journey (Buyer/Tenant)



RESEARCH

Pretext: We have identified that there could be opportunities in the post-property finalization phase of the property hunt cycle

Survey results [Total respondents: 42]

100% of people surveyed who use the platforms to buy or rent properties **have NEVER used a paid feature of these apps but are willing to if it solves a critical pain point**

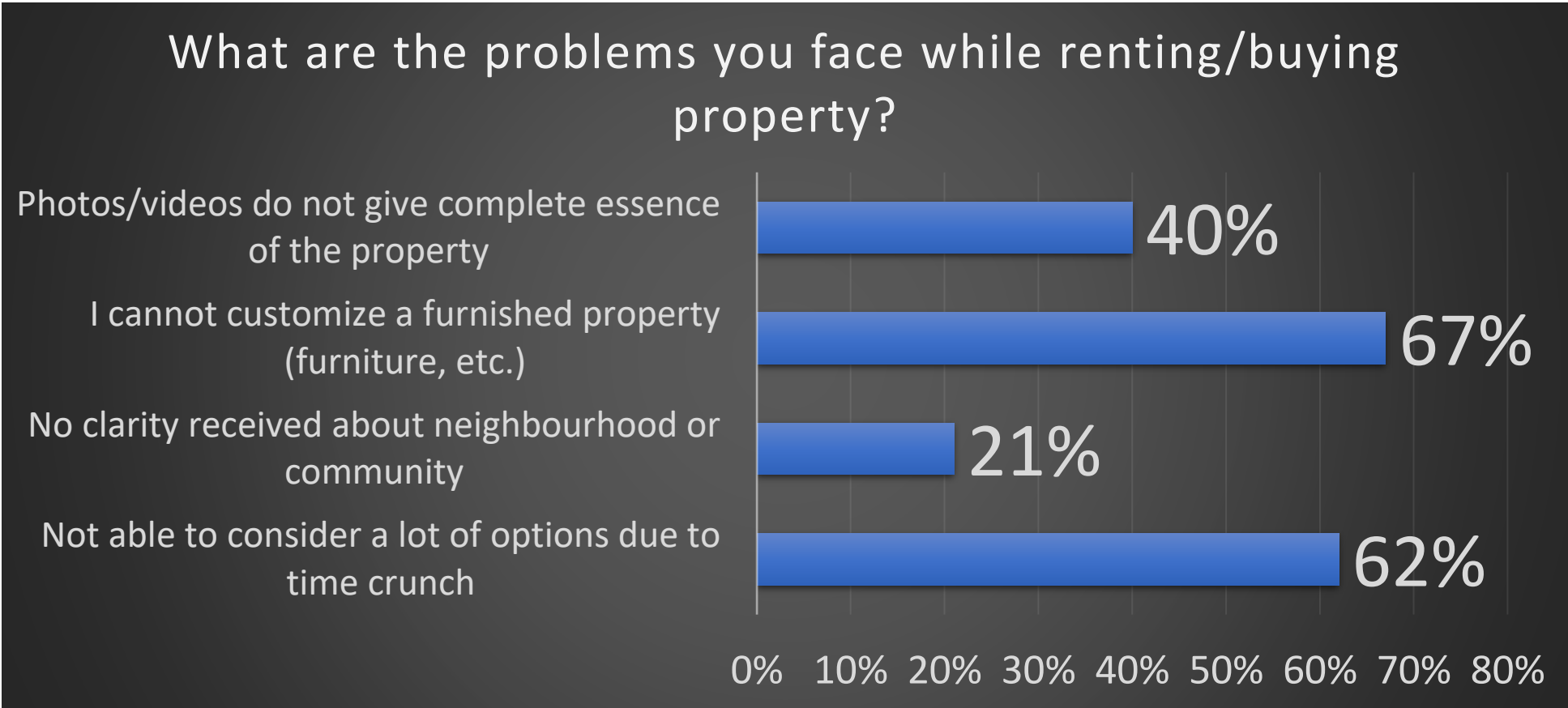
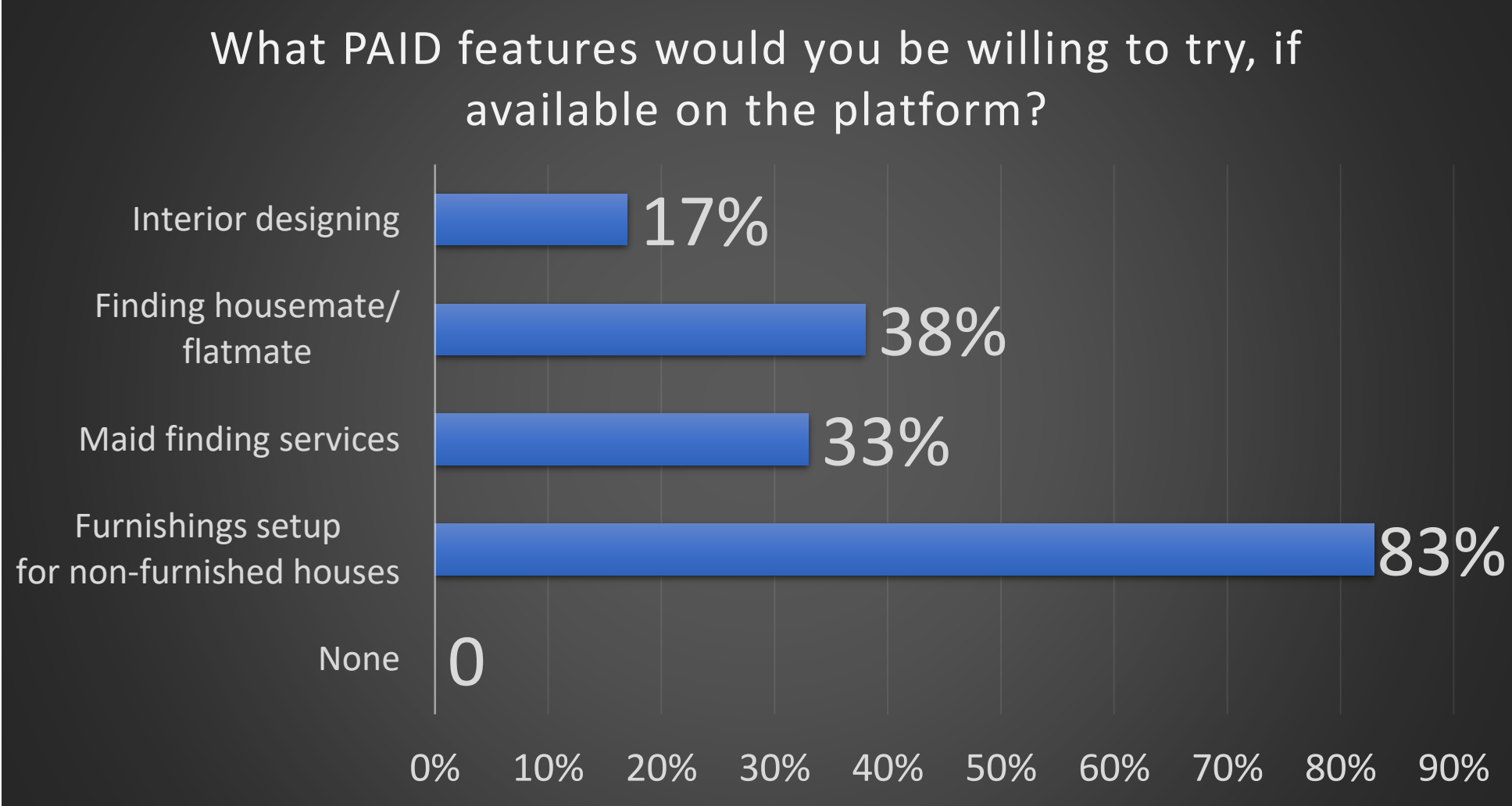
67% people feel that they are **forced to keep the furniture/appliances that come with the house and would like to have options to swap**, if available

Main pain points for a buyer/tenant **AFTER buying/renting property** are **furnishing the place, finding a maid, designing the interiors, finding housemates**

83% of them are willing to use a paid property furnishing option, if available on the real estate platform

Problem validation [done through 6 user interviews]

Observation	Insight
100% users stop using online real estate portals as soon as they finalise the property to move in	<i>Current post purchase offerings are not providing value for customers</i>
83% interviewees worry about furnishing their houses, the FIRST THING after buying/renting a place	<i>Furnishing can be a logical extension of the current user journey on the portal</i>
Tenants/buyers either shop offline or use online furnishing options (if available) to customize their house interiors	<i>Users open to trying avenues and are not loyal to any particular offering</i>



JOBS TO BE DONE:

When I buy/rent a property, but need to get the interiors furnished to my requirements, help me find a way to get it done seamlessly, so that I don't have to spend extra time and resources on other platforms

SOLUTIONS

Option 1: Furnishing platforms aggregator

Targeted users: *Buyers and tenants of unfurnished properties*

Proposed solution: Integration with online furniture/appliances renting platforms, as individual items or packages, as per customer's choice and applicability

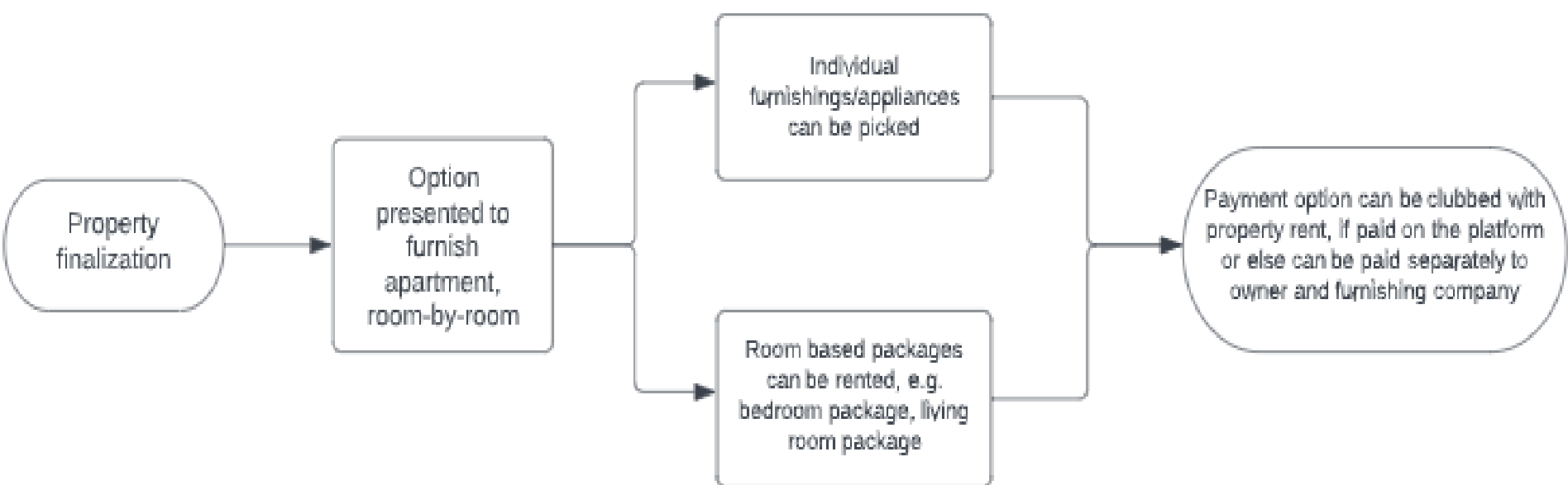
Customers who have finalized their properties on the platform, can access furnishing options, room-by-room. Combined room packages can also be offered

Synergies between 99acres and Online furnishing platforms:

There is an overlap in customers on both platforms as there is a natural need to furnish the property after buying it.

Note: *Furnishings are not limited to furniture but also appliances like water purifier, refrigerator, TV, Air conditioner, etc.*

How this caters to our problem statement: This is a completely new initiative which is a potential monetization opportunity for 99acres through commissions charged from the furniture renting companies.



Option 2: Furnishings exchange

Targeted users: *Tenants of furnished properties*

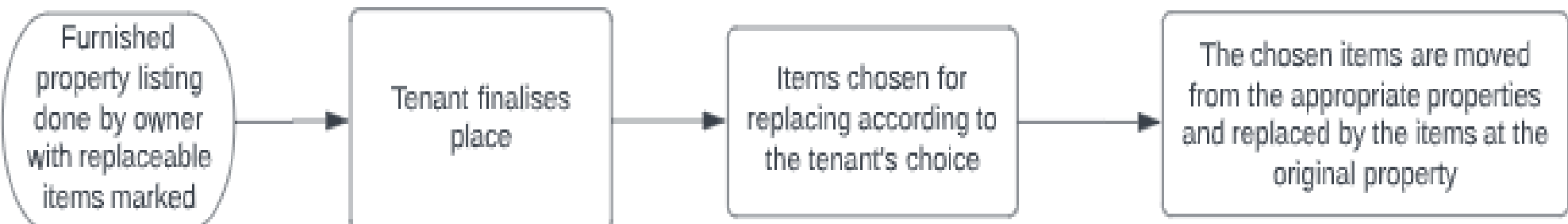
Proposed solution: Tenants of furnished properties who would like to customize the furnishings according to their own taste and budget, can opt to either choose the furnished property or else pick and choose the appliances/furnishings that they want to swap with other available options.

Background: The owners of furnished properties can mention in their property listing what pieces of furnishing/appliances they are alright with being replaced till the rental period. Such furniture can be made visible on a rental portal on the 99acres site itself.

The rental value of the property can be re-calculated with the replaced pieces of furniture and can be updated as per the case applicable.

If tenants opt for furnishings/appliances that are available in some other available property, the chosen items are exchanged between properties and there is no need for extra storage space for replaced items

How this caters to our problem statement: This is a new addition to our platform, where cost of furniture being rented will include a component for logistics, as well as convenience, which will be a monetization opportunity for us.



PROPOSED SOLUTION

We evaluate the solutions proposed on the basis of the following criteria:

- **Reach (R)** : We need reach to be more as it will lead to more probability of adoption
- **User impact (U)** : We need to have a larger user impact, so that the problem we are tackling is effectively resolved
- **Business impact (B)** : We need to have a larger business impact, so that the problem generates monetization revenue for us
- **Non-tech resources required (Re)** : Tech resources are infinite as given in the problem statement, but the non-tech resources need to be considered as well

Final score is calculated as: $(R \times U \times B)/Re$

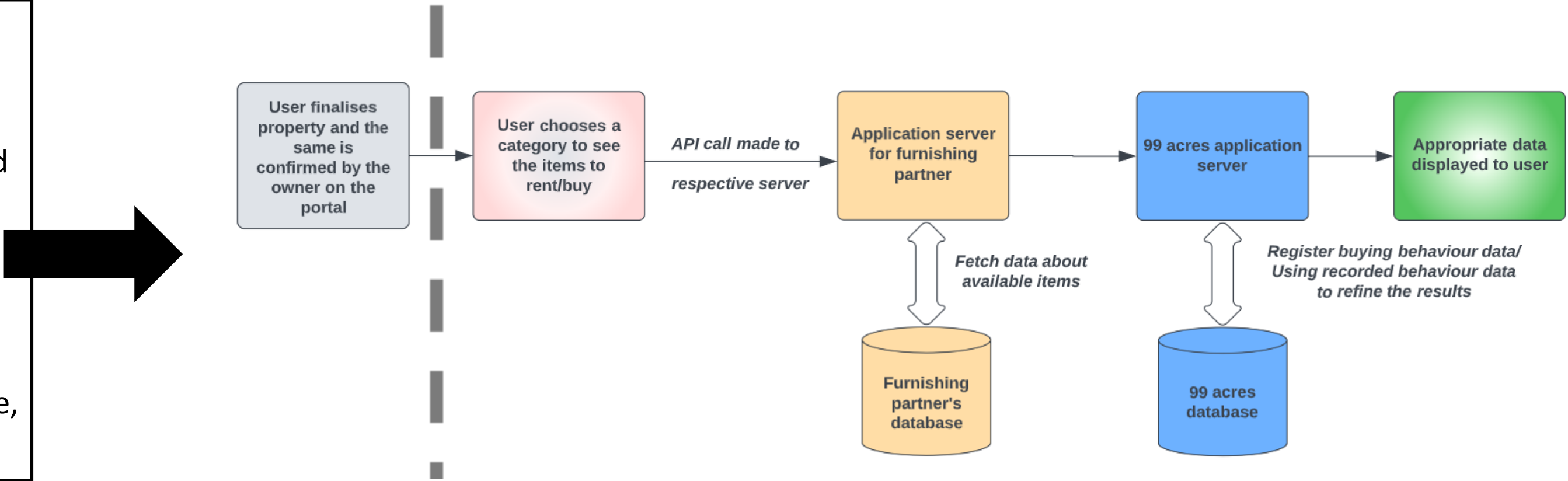
Solution	Reach	User Impact	Business impact	Non-tech resources required	Final Score	Remarks
 Furnishings integration	4	4	4	2	32	Higher reach: This will work equally good for properties being bought and rent. Higher user impact: There is always a requirement for appliances/furnishings to be set up in an unfurnished property Lower resources required: Integration of existing platforms instead of building from ground up. Resources like logistics will be from the side of the integrated party themselves
Furnishings exchange	2	2	3	4	3	Lower reach: Will only work for rental properties as properties to be bought are rarely furnished Lower user impact: User has limited choices as he only can choose what other property owners have allowed to be rented Lower business impact: Pricing will be tricky as we need to cover logistics costs, so business impact can be unfavourable Higher resources required: There will be items exchanged between 2 places, which will involve movement cost

High level system design

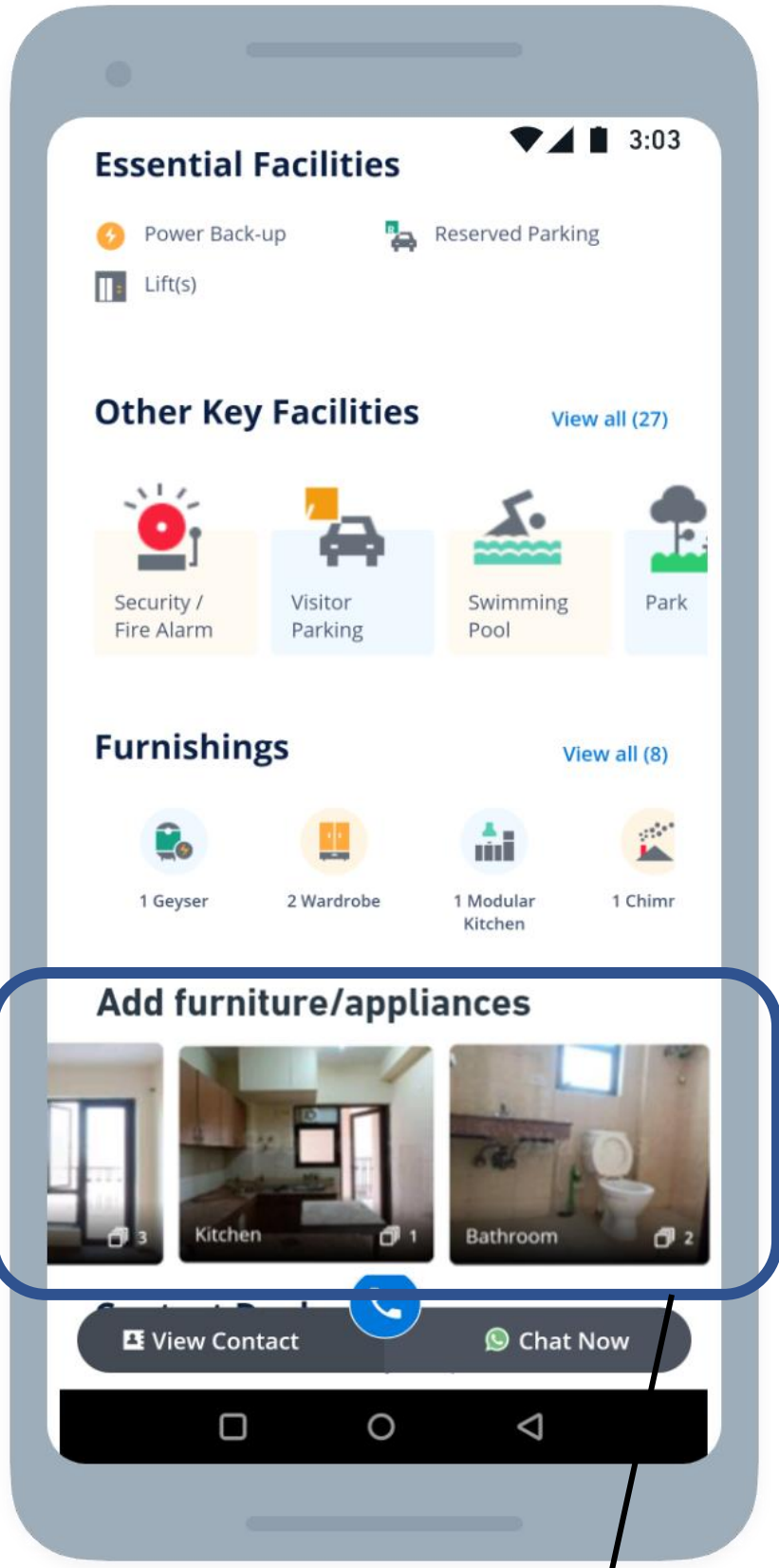
API calls will be made to relevant partner servers, whenever the user chooses an particular furnishing option. The partner application server will fetch data and metadata from their mapped databases and forward it to our servers, where it will interact with our database and present the final refined data to the user. Some of the APIs used can be:

FetchItems (room type, room size): will fetch furniture and appliances data appropriate to the room type and size passed

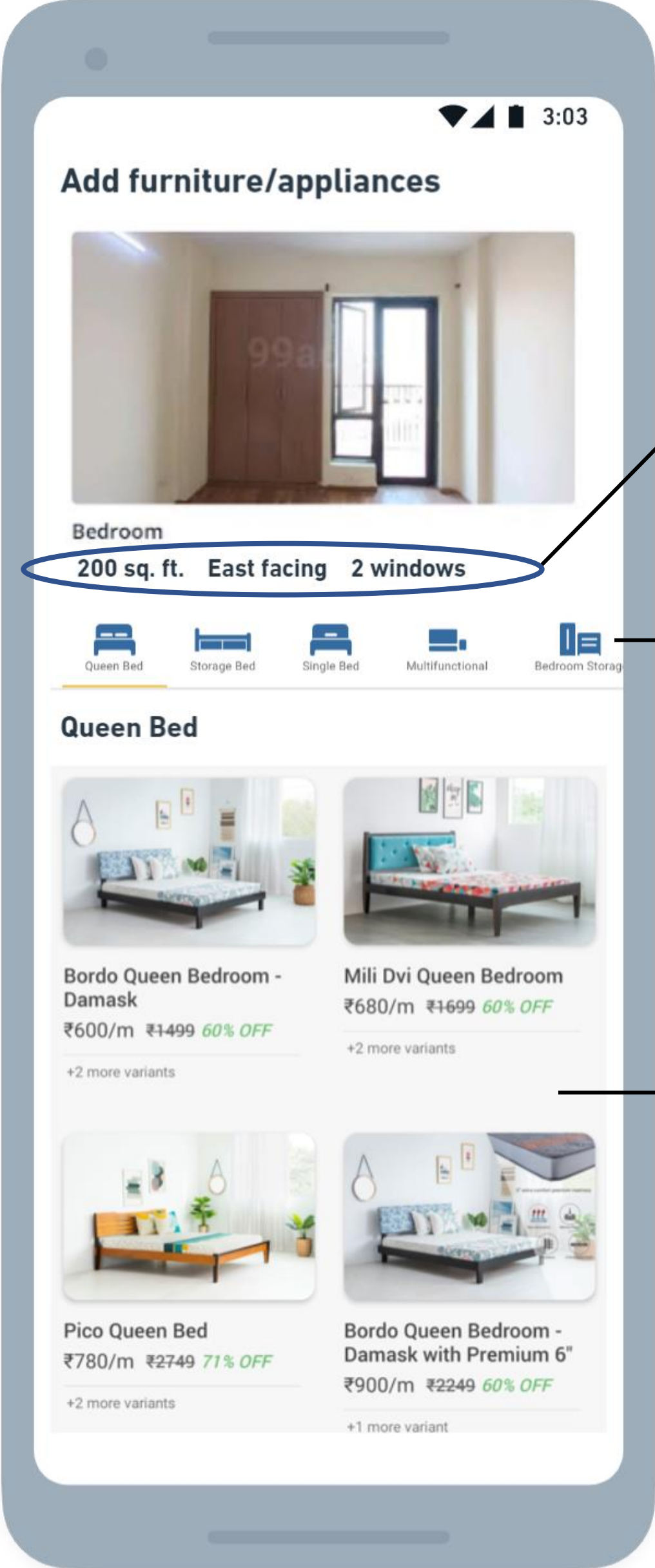
FetchItemdetails (item code): will fetch individual item details like price, pictures, payment terms, etc.



WIREFRAMES



Below the furnishing details of the property being viewed, furnishing options are shown room by room. The individual room pictures on the property listing will be shown to help the tenant/buyer to buy/rent the appropriate items



Features that will be directly displayed after getting imported from partner servers



Features that will keep improving as more user behaviour data collects in our database

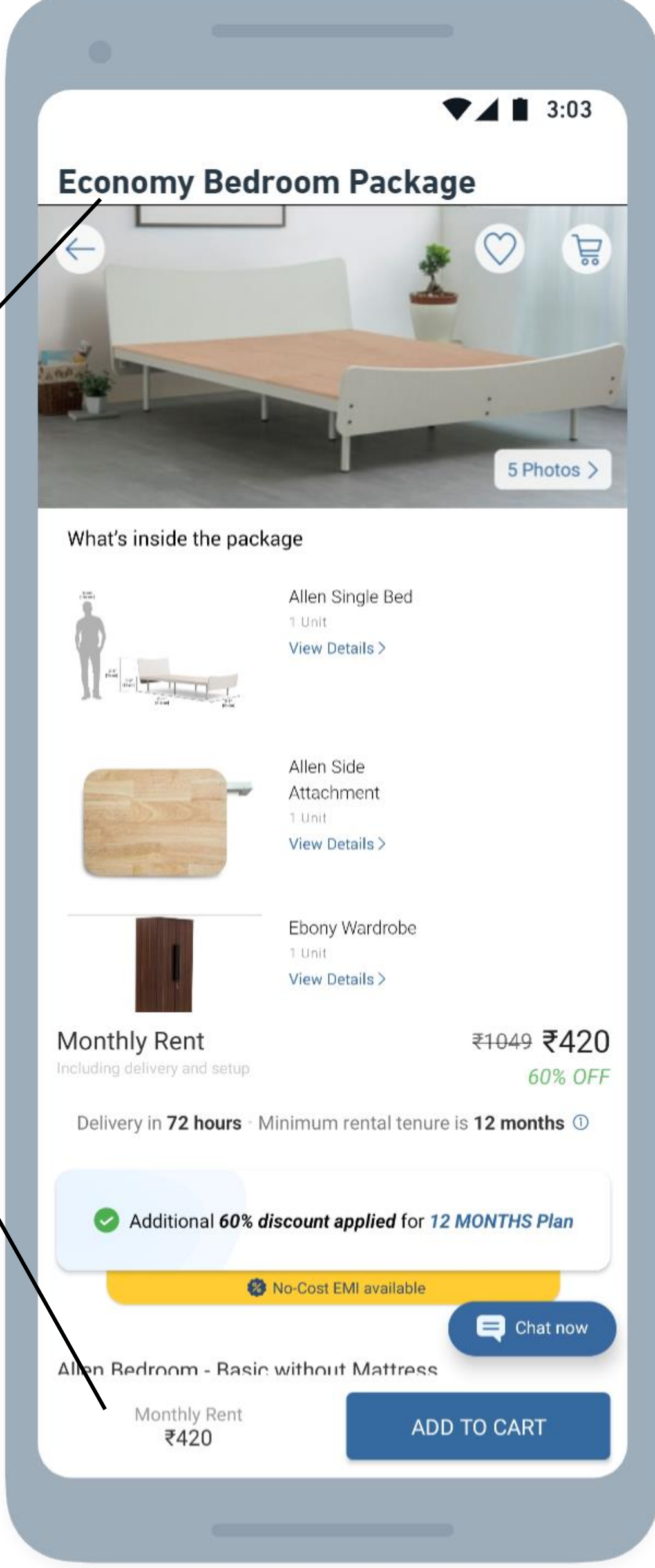
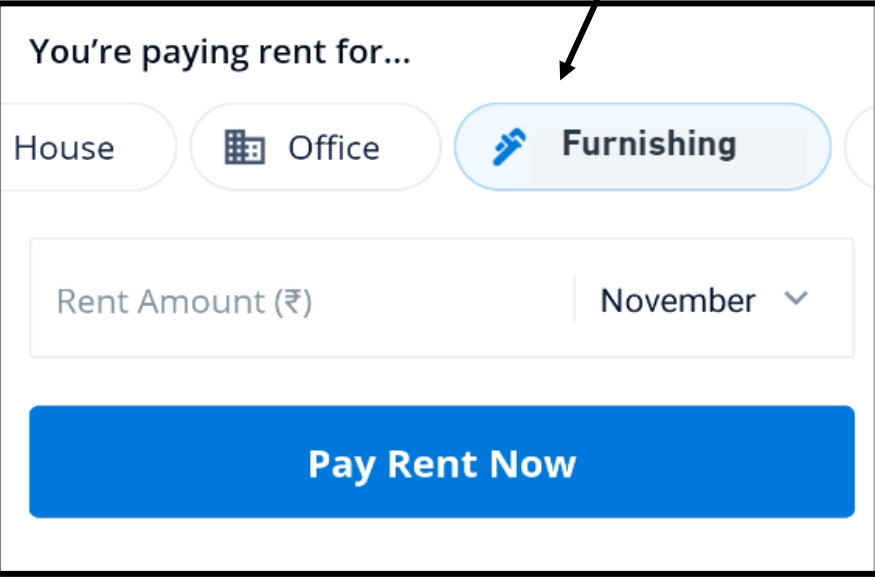
Room build details like size will influence the options being displayed. Presence of windows will also trigger display of curtain options

The room type parameter will determine the categories of items being displayed, will also have a section for room specific packages. For example, economy, premium and luxury bedroom packages

Options displayed will be an aggregation of all furnishing providers that we tie up with

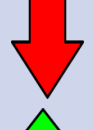
In the room specific packages section, initially price based packages will be provided. With the continued usage of the platform, this section can also include customized packages with items that are identified using buying behaviour data on our portal

The total monthly rent will be displayed at the bottom, after aggregating the prices of all items and packages chosen by the user for all the rooms of the property. This can be finalized by confirming the cart contents and making the payment using the payment facility on 99acres portal itself



METRICS

North Star metric: Revenue generated through furnishings offerings 

Category	Metric	Desired movement	Remarks
Adoption	(# users opting for furnishing)		Will denote the percentage of buyers/tenants who are opting for furnishings
	(# property confirmations)		Will denote the effect of the furnishings offering on attracting new users to 99acres
	(# new tenants/buyers)		
	(# total tenants/buyers)		
Engagement	Avg. number of items bought/rented per customer		Will denote the interest and trust of the customers in our offering
	Avg. number of items bought/rented per room		Will denote the most popular room formats and as a result the ones that need better offerings
	Avg. number of purchases per item		Will denote the most popular purchases, helping to build customizations
Retention	% existing customers extending their rental period		Will denote repeat buying/renting behaviour, meaning the customer was retained and wants to continue the association
	% existing customers returning items before end of rental period		Will denote customers returning back items due to multiple reasons: cohorts can be made in this data to find out what % returns was due to dissatisfied customers
Health	Avg. load time		Lower load time will result in lower bounce rates due to bad experience
	Precision rate of recommendations		Will denote the accuracy of our recommendation model according to the data we collect
Satisfaction	% of furnishing customers with complaints		Tracked over a time period, this will denote the change in complaints rate
	NPS score of furnishing customers		Will denote the satisfaction rate of our furnishings customers
Revenue	Profit generated through furnishings business		Will denote the profit rate we are able to achieve as a function of the revenue generated from the furnishing business
	Avg. commission rate per partner		Will denote the relative profitability we draw from our various furnishing partners

SECOND ORDER THINKING AND FUTURE SCOPE

Pitfalls	Mitigation
As we are behaving as the product aggregator only, services related to the offering, like logistics/maintenance will be taken care directly by the individual furnishing providers and service quality may vary accordingly	We can establish Service Level Agreements (SLA) with the furnishing platforms on the lines of their existing ones (for example, delivery in 72 hours) to keep customers satisfied
Users might head to the integrated partner’s portal instead of using our portal	• Exclusive price discounts through bookings made on our portal • Customized offerings generated through buying behaviour data collected on our end can also be a differentiating point from the native portal

Future scope

Tie up with offline furnishing partners: [Probability: High, Risks: Medium]

Due diligence will be required to build data on partners who are currently operating completely offline. They can be pitched the wider reach through our platform as a benefit of the partnership and onboarded. Architecture of our system will be modified accordingly as in this case, the data will be directly fetched from our database instead of partner database

Use buying data to build customized package offerings: [Probability: High, Risks: Low]

User buying behaviour can be tracked in cohorts and this can be used to make customised offerings in order to increase sales. For example, if in a region, item X is the top sold item for bedside furnishings and item Y is the top sold bed, we can make a customised bedroom package including both items X and Y

Build own logistic capabilities: [Probability: Low, Risks: High]

If this business scales up well and projected ROIs are justified, investments can be made to build our own logistic capabilities like a transport fleet and warehouses, which could open up new business opportunities like the furniture exchange platform suggested in the solutions slide, service levels can also be standardized through this initiative